Concentration ratio is the percentage of the market's total output supplied by its ……. largest firms.

a. Three
b. Four
c. Five
d. Two

2) When firms collude to decide on the price to charge and quantity to produce, the situation is called cartel.

a. True
b. False.

3) Which of the following is incorrect in oligopoly market?

a. $Q_{competition} > Q_{oligopoly} > Q_{monopoly}$

b. $P_{competition} < P_{oligopoly} < P_{monopoly}$

c. $Q_{competition} > Q_{monopoly} > Q_{oligooly}$

d. $Q_{monopolistic\ competition} > Q_{oligopoly} > Q_{monopoly}$

4) As a group, oligopolists earn the highest profit when they produce a total quantity of output that falls short of the Nash-equilibrium total quantity.

a. True
b. False

5) As the number of firms in an oligopoly increases, the price approaches to

a. Marginal cost
b. The monopolistic competition price
c. Monopoly price.
d. Zero.

6) Suppose T-Mobile and Verizon are the two firms supply cell phone in Smalltown. Each firms fixed cost is $0 and marginal cost is $10. Smalltown demand schedule is shown in below figure.

P ($)	0	5	10	15	20	25	30	35	40	45
Q	140	130	120	110	100	90	80	70	60	50

If both the firms operate in perfectly competitive environment, how much quantity they together should produce?

a. 140
b. 120
c. 130
d. 110

7) Suppose T-Mobile and Verizon are the two firms supply cell phone in Smalltown. Each firms fixed cost is $0 and marginal cost is $10. Smalltown demand schedule is shown in below figure.

P ($)	0	5	10	15	20	25	30	35	40	45
Q	140	130	120	110	100	90	80	70	60	50

If both the firms operate in monopoly environment, how much quantity they together should produce?

a. 50
b. 60
c. 100
d. 120

8) Suppose T-Mobile and Verizon are the two firms supply cell phone in Smalltown. Smalltown demand schedule is shown in below figure.

P ($)	0	5	10	15	20	25	30	35	40	45
Q	140	130	120	110	100	90	80	70	60	50

Both the firms make a cartel and decided to produce 30 Units each at a price of $40 and yield a profit of $900. If T-mobile reneges and produces Q=50, what should be the market price?

a. 30
b. 20
c. 40
d. 35

9) Suppose T-Mobile and Verizon are the two firms supply cell phone in Smalltown. Each firms fixed cost is $0 and marginal cost is $10. Smalltown demand schedule is shown in below figure.

P ($)	0	5	10	15	20	25	30	35	40	45
Q	140	130	120	110	100	90	80	70	60	50

Both the firms make a cartel and decided to produce 30 Units each at a price of $40 and yield a profit of $900. If both the firms renege and produce Q=40, what should be the profit of each firm?

a. $1000
b. $1200
c. $1400
d. $800

10) This table shows a game played between two players, A and B. The payoffs in the table are shown as (Payoff to A, Payoff to B).

		B		
		Left	*Center*	*Right*
A	*Up*	(3, 4)	(6, 2)	(3, 1)
	Middle	(2, 7)	(7, 6)	(4, 7)
	Down	(4, 5)	(6, 7)	(3, 5)

if player A chooses 'Down', player B should choose

a. Up and earn a payoff of 4.
b. Centre and earn a payoff of 7.
c. Middle and earn a payoff of 7.
d. Down and earn a payoff of 3.